CIS · CONSTRUCTION

Having 30% deducted? Usually you are not registered.

In construction, the firm paying you keeps part of the money and sends it to HMRC in your name. 30% usually means you never registered, or could not be verified.

20% OR 30%

20%

Registered for CIS, the contractor deducts **20%**. Not registered, **30%**. The money is not lost: it counts as an advance payment towards your Income Tax and National Insurance.

> Sole trader: offset on your tax return. Limited company: recovered through payroll, never on the Corporation Tax return.

WHO HAS NO DEDUCTION

0%

Employees are not in CIS at all: with a contract of employment, nothing is deducted under CIS. And a subcontractor granted gross payment status by HMRC has nothing deducted either — paid in full, tax settled at the end.

> Nothing is deducted from VAT or from materials you paid for, either.

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Not sure whether you are registered?

Message us and we will check what has been deducted and how it comes off your tax. No obligation.

0330 133 1886

General information. For your own situation, speak to an accountant.